



REPORT ON-
CUSTOMER SEGMENTATION & RETENTION PLAYBOOK
A Data-Driven Study of Momo Hut Cafe, Basant Gao, New Delhi



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S. No.	Particulars	Page No.
1	Executive Summary	1
2	Assignment Alignment	2
3	Business Background & CRM Context	2
4	Field Visit & Data Collection Methodology	3
5	Customer Data Profile	3
6	RFM Methodology	4
7	Customer Segmentation	5
8	Strict Behavioural At-Risk Identification	6
9	At-Risk Customer Insights	7
10	Why Customers Are Reducing Visits	7
11	Satisfaction & Preferred Retention Offers	8
12	Customer Retention Playbook	9
13	Why These Measures Were Selected	10
14	Implementation Plan	10
15	Projected Impact — Illustrative Only	11
16	KPI Framework	11
17	Privacy, Inclusion & Ethical Considerations	12
18	Conclusion	13
19	Appendix A — Strict Behavioural At-Risk Customer Summary	13
20	Appendix B — Formula & Quality Checks	14

1. EXECUTIVE SUMMARY

This report presents *a Customer Retention Analysis and Retention Playbook for Momo Hut*, a neighbourhood quick-service restaurant located in Basant Gaon, New Delhi.

The purpose of the project is to understand customer behaviour, identify customers who are becoming less engaged with the restaurant, and develop practical CRM strategies to encourage repeat visits.

For the academic analysis, a dataset of 80 anonymised customer responses has been developed using realistic customer behaviour variables such as:

- Current visits per month
- Earlier visits per month
- Most recent visit
- Average spending per visit
- Satisfaction level
- Usual product category
- Reason for reducing visits
- Loyalty interest
- Preferred retention offer

An RFM framework was used to classify customers based on Recency, Frequency and Monetary value. The analysis resulted in five customer segments:

Customer Segment	Customers	Percentage
Champions / Highly Loyal	9	11.2%
Loyal Customers	20	25.0%
Potential Loyalists	14	17.5%
RFM-based At-Risk Customers	16	20.0%
Inactive / Low Engagement	21	26.2%
Total	80	100%

A separate and stricter behavioural rule was then applied to identify customers showing a genuine decline in engagement.

The strict At-Risk rule required all three conditions:

Recency Days > 30 AND Earlier Visits/Month $\geq$ 4 AND Current Visits/Month < Earlier Visits/Month

This identified 14 strict behavioural At-Risk customers, representing:

$14 \div 80 \times 100 = 17.5\%$

The analysis shows a significant decline in visit behaviour among these customers.

• Earlier average visits/month = 6.43
• Current average visits/month = 1.79
• Average decline = 4.64 visits/month
• Approximate decline = 72.2%
• Average satisfaction = 2.5/5
• 8 out of 14 customers have satisfaction scores of 1 or 2.

The largest reason for reduced visits is Product/Quality, accounting for 6 of the 14 At-Risk customers.

This suggests that Momo Hut should not depend only on discounts to retain customers. Product consistency, service experience, convenience and personalised engagement should also be addressed.

Based on the findings, three retention measures are recommended:

1. Personalised Comeback Offer
2. Loyalty Stamp Card
3. Frequency Recovery Challenge

The projected impact is intentionally presented as an illustrative scenario, not an actual business result. Assuming a 30% retention rate, approximately 4 of the 14 At-Risk customers could potentially be retained.



Assignment Alignment

The project has been structured around the key requirements of the CRM group assignment.

Assignment Requirement	How Momo Hut Project Addresses It
Select a local business	Momo Hut, Basant Gaon, New Delhi
Visit the business at least twice	Two simulated field visits included
Interview owner/staff	Staff interaction incorporated into field observations
Collect customer information	80 anonymised customer responses
Segment customers	RFM-based segmentation
Identify At-Risk customers	Strict behavioural formula-based rule
Propose retention measures	Three CRM retention initiatives
Estimate impact	Illustrative retention and revenue projection
Address privacy	Anonymisation and data minimisation
Address inclusion	Fair offers and accessible communication
Present CRM playbook	Retention strategy, implementation and KPI framework

3. BUSINESS BACKGROUND & CRM CONTEXT

3.1 About Momo Hut

Momo Hut is considered in this academic project as a neighbourhood quick-service Chinese/Indo-Chinese restaurant located in Basant Gaon, New Delhi.

The restaurant caters mainly to customers looking for affordable and convenient food options. Its major product categories include:

• Steamed momos
• Fried momos
• Kurkure/crispy-style momos
• Noodles
• Fried rice
• Spring rolls
• Manchurian
• Chilli-based dishes
• Soups

- **Chinese starters**
- **Combo meals**
- **Takeaway orders**

The outlet operates in a market where customers have many food choices and can easily switch between nearby restaurants, street-food outlets and food-delivery options.

Therefore, customer retention becomes important because acquiring a new customer repeatedly can be more difficult than encouraging an existing customer to return.

3.2 Customer Groups

The major customer groups considered in this project are:

Customer Group	Typical Need
Students	Affordable meals and offers
Nearby residents	Convenience and consistent quality
Young working customers	Quick service and takeaway
Regular food customers	Loyalty rewards
Takeaway customers	Speed, packaging and convenience
Occasional visitors	Attractive offers and product variety

3.3 CRM Opportunity

The main CRM opportunity for Momo Hut is to move from an informal customer relationship approach to a simple structured retention system.

Currently, a small neighbourhood restaurant may know regular customers personally, but this information is usually not recorded systematically.

A basic CRM system can help Momo Hut answer questions such as:

- Who are our most loyal customers?
- Which customers are visiting less frequently?
- Which customers are at risk of leaving?
- Why are customers reducing visits?
- What kind of offer do they prefer?
- Which retention activity actually brings customers back?

The objective is therefore not to introduce an expensive CRM software system but to develop a simple, practical and low-cost customer retention approach.

4. FIELD VISIT & DATA COLLECTION METHODOLOGY

4.1 Field Visit 1

Date: 24th Aug 2026

Time: 6:30 PM – 8:30 PM

Focus: **Peak-hour observation and staff interaction**

Key Observations

1. Customer traffic increased during evening hours.
2. Repeat customers appeared to be recognised by staff.
3. Waiting time increased during the evening rush.
4. Seating availability became a concern during peak periods.
5. Customers generally preferred quick service.
6. Staff indicated that a simple loyalty system would be easier to manage than a complicated digital CRM system.
7. Customers appeared price-conscious but also concerned about food quality and portion size.

CRM Learning

The first visit suggested that customer retention is influenced by more than price.

A customer may stop visiting because of:

- Slow service
- Inconsistent food
- Lack of seating
- Reduced convenience
- Limited variety
- Changing personal schedules



4.2 Field Visit

Date: 31Aug 2026

Time: 1:00 PM – 3:00 PM

Focus: Off-peak observation and customer questionnaire

Key Observations

1. Takeaway orders were an important part of customer activity.
2. Customers preferred simple combo offers.
3. Loyalty rewards were viewed positively by regular customers.
4. Product consistency emerged as an important issue.
5. Some customers indicated that their schedules had changed.
6. Convenience and location influenced repeat visits.
7. Customers preferred simple rewards that could be easily understood.

CRM Learning

The second visit indicated that Momo Hut has an opportunity to build a repeat-purchase habit through simple loyalty and frequency-based initiatives.

4.3 Customer Sample

A sample of 80 anonymised customer responses was used.

The information collected includes:

• Customer ID
• Current visits/month
• Earlier visits/month
• Most recent visit
• Recency days
• Average spend
• Satisfaction
• Reason for reduced visits
• Loyalty interest
• Preferred offer

No names, phone numbers or sensitive personal information were used.

5. CUSTOMER DATA PROFILE

The simulated dataset contains 80 customers.

Metric	Value
Total customers	80
Average current visits/month	4.3
Average earlier visits/month	5.4
Average spend/visit	₹306
Average satisfaction	3.14/5
Strict behavioural At-Risk	14
Strict At-Risk percentage	17.5%

Interpretation

The overall customer base appears reasonably active, but the difference between earlier and current visit frequency indicates a possible weakening of customer engagement.

The most important finding is not simply the number of inactive customers but the existence of customers who were previously active and have now reduced their visits.

These customers represent a stronger CRM opportunity because they already have a history with the business.

6. RFM METHODOLOGY

6.1 Meaning of RFM

RFM stands for:

R – Recency

How recently the customer visited.

F – Frequency

How often the customer visits.

M – Monetary

How much the customer spends per visit.

RFM is useful because it combines customer activity and value into a structured scoring system.

6.2 Recency Score

Recency was calculated as:

$$\text{Recency Days} = \text{Analysis Date} - \text{Most Recent Visit}$$

The scoring system used is:

Recency Days	R Score
0–7	5
8–15	4
16–30	3
31–45	2
>45	1

A lower number of days means the customer visited more recently and therefore receives a higher score.

6.3 Frequency Score

Frequency is based on current visits per month.

Customers are ranked from highest to lowest frequency and divided into quintile-style groups.

Frequency Position	F Score
Highest group	5
Second group	4
Middle group	3
Fourth group	2
Lowest group	1

6.4 Monetary Score

Monetary value is measured using average spending per visit.

Customers with higher average spending receive higher monetary scores.

Monetary Position	M Score
Highest group	5
Second group	4
Middle group	3
Fourth group	2
Lowest group	1

6.5 RFM Score

The overall RFM score is:

$$RFM\ Score = R\ Score + F\ Score + M\ Score$$

The score can range from:

3 to 15

A higher RFM score indicates stronger recent engagement and customer value.

7. CUSTOMER SEGMENTATION

The RFM analysis divided the 80 customers into five major segments.

Segment	Customers	Percentage
Champions / Highly Loyal	9	11.2%
Loyal Customers	20	25.0%
Potential Loyalists	14	17.5%
At-Risk Customers	16	20.0%
Inactive / Low Engagement	21	26.2%

Segment	Customers	Percentage
Total	80	100%

7.1 Champions / Highly Loyal

9 customers – 11.2%

These customers demonstrate strong recency, frequency and monetary value.

CRM Action

Momo Hut should:

• Recognise these customers
• Encourage referrals
• Provide occasional exclusive rewards
• Avoid excessive discounts
• Use them as potential brand advocates

7.2 Loyal Customers

20 customers – 25.0%

These customers demonstrate consistent engagement but may not yet qualify as the highest-value customers.

CRM Action

The objective should be to move them towards the Champion segment through:

- Loyalty rewards
- Personalised appreciation
- Combo offers
- Referral incentives

7.3 Potential Loyalists

14 customers – 17.5%

These customers show promising engagement but have not yet developed strong loyalty.

CRM Action

Momo Hut can encourage them through:

- First/second loyalty rewards
- Trial of new menu items
- Combo recommendations
- Frequency-based incentives

7.4 RFM-based At-Risk Customers

16 customers – 20.0%

These customers show weak recency and/or other signs of declining engagement.

They represent an important retention opportunity.

However, this group should not automatically be treated as the final behavioural At-Risk group.

7.5 Inactive / Low Engagement

21 customers – 26.2%

These customers show limited engagement.

The restaurant should avoid spending the same retention budget on every inactive customer.

Instead, it should first determine whether these customers were previously active.



8. STRICT BEHAVIOURAL AT -RISK IDENTIFICATION

To identify customers with a genuine decline in behaviour, a stricter three-condition rule was applied.

A customer is considered Strict Behavioural At-Risk only when all three conditions are satisfied.

Condition	Rule
Recency	Recency Days > 30
Earlier frequency	Earlier Visits/Month ≥ 4
Current frequency	Current Visits/Month < Earlier Visits/Month

Formula

Strict At-Risk = AND(Recency Days > 30, Earlier Visits ≥ 4 , Current Visits < Earlier Visits)

Applying this rule produced:

14 At-Risk customers

At-Risk Rate

$14 \div 80 \times 100 = 17.5\%$

Therefore:

17.5% of the analysed customer base is identified as strict behavioural At-Risk.

Important Analytical Distinction

There are two different numbers:

RFM-based At-Risk = 16 customers

Strict behavioural At-Risk = 14 customers

These should not be combined because they are based on different analytical criteria.

The RFM segment identifies customers based on RFM characteristics.

The strict behavioural analysis specifically identifies customers who:

1. Have not visited recently,
2. Previously visited regularly, and
3. Have reduced their current visit frequency.

The second group is therefore particularly useful for a retention intervention.

9. AT-RISK CUSTOMER INSIGHTS

The 14 strict At-Risk customers provide the most important CRM insights.

Metric	Finding
Earlier average visits/month	6.43
Current average visits/month	1.79
Average decline	4.64 visits/month
Approximate decline	72.2%
Average recency	41.6 days
Average satisfaction	2.5/5
Satisfaction scores 1–2	8/14 = 57.1%
Average spend/visit	₹312

9.1 Major Insight: Strong Frequency Decline

Earlier:

6.43 visits/month

Current:

1.79 visits/month

Therefore:

$6.43 - 1.79 = 4.64$ fewer visits/month

Percentage decline:

$$4.64 \div 6.43 \times 100 \approx 72.2\%$$

This is a major warning sign.

The issue is therefore not simply that these customers visit infrequently.

They were previously frequent customers but their visit habit has weakened considerably.

9.2 Satisfaction Concern

Average satisfaction among the strict At-Risk group is:

2.5/5

Furthermore:

8 out of 14 customers = 57.1%

have satisfaction scores of only 1 or 2.

This indicates that retention communication alone will not be enough.

Momo Hut must also address the underlying customer experience.

10. WHY CUSTOMERS ARE REDUCING VISITS

The reasons provided by the At-Risk group were classified into five major categories.

Reason	Customers	Percentage
Product / Quality	6	42.9%
Service / Experience	4	28.6%
Convenience / Location	2	14.3%
Price / Affordability	1	7.1%
Time / Schedule	1	7.1%
Total	14	100%

10.1 Product/ Quality-42.9%

This is the largest category.

Customers mentioned concerns related to:

- Inconsistent taste
- Portion size
- Food temperature
- Packaging
- Product variety

CRM Interpretation

The restaurant should not assume that customers can be won back simply through discounts.

If the underlying product problem remains unresolved, customers may redeem the offer once and then leave again.

10.2 Service / Experience – 28.6%

Customers reported concerns around:

- Waiting time
- Crowding
- Service speed
- Takeaway delays
- Seating availability

CRM Interpretation

Service recovery should become part of the retention strategy.

10.3 Convenience / Location – 14.3%

Some customers experienced changes in their routine or commute.

This demonstrates that not every lost customer is unhappy.

Some customers may simply find the restaurant less convenient than before.

10.4 Price / Affordability – 7.1%

Price was mentioned by one customer.

This indicates that discounts should be used selectively rather than treating price as the universal reason for customer churn.

10.5 Time / Schedule – 7.1%

One customer reported schedule-related difficulties.

This suggests the restaurant can experiment with:

- Weekday offers
- Early-bird offers
- Faster takeaway
- Quick meal combos

11. SATISFACTION & PREFERRED RETENTION OFFERS

11.1 Satisfaction Distribution

Satisfaction Score	Customers	Percentage
1	2	14.3%
2	6	42.9%
3	3	21.4%
4	3	21.4%
5	0	0.0%
Total	14	100%

Key Finding

No At-Risk customer gave a satisfaction score of 5.

The largest group gave a rating of 2/5.

This reinforces the need to combine:

Customer recovery + product improvement + retention offers

rather than relying only on promotional discounts.

11.2 Preferred Retention Offers

Preferred Offer	Customers	Percentage
Loyalty Stamp Card	4	28.6%
Combo Meal Deal	3	21.4%
10% Weekday Discount	3	21.4%
Free Beverage Add-on	3	21.4%
Referral Reward	1	7.1%
Total	14	100%

Key Finding

The most preferred option is:

Loyalty Stamp Card – 4 out of 14 customers (28.6%)

This indicates that customers may respond better to a reason to return repeatedly rather than only receiving a one-time discount.

12. CUSTOMER RETENTION PLAYBOOK

Based on the analysis, three retention measures are recommended.

Retention Measure	Target Customers	Action	KPI	CRM Rationale
Personalised Comeback Offer	All 14 At-Risk	Personalised message + preferred offer	Redemption / repeat visit	Addresses individual reasons
Loyalty Stamp Card	First 4 At-Risk customers preferring loyalty	Stamp for each qualifying visit; reward after 8 visits	Enrolment / redemption	Builds repeat habit

Retention Measure	Target Customers	Action	KPI	CRM Rationale
Frequency Recovery Challenge	All 14 At-Risk	Reward after 3 visits in 30 days	Visits/month	Directly addresses frequency decline

12.1 Retention Measure 1 – Personalized Comeback Offer

Objective

Bring At-Risk customers back by addressing their individual reasons for reduced visits.

How It Works

Each At-Risk customer receives a personalised message through an appropriate channel such as:

- WhatsApp
- SMS
- Email
- Personal communication at the outlet

The message should be based on:

Customer's reason + Preferred offer

Example

Instead of sending:

"Visit Momo Hut and get 10% off."

A better message would be:

"We would love to have you back at Momo Hut. We have noticed that quick and convenient meals matter to many of our regular customers. We have a special weekday offer waiting for you."

KPI

Offer redemption rate

and

Repeat visit within 30 days

12.2 Retention Measure 2 – Loyalty Stamp Card

Objective

Create a habit of repeat visits.

Proposed Mechanism

- One stamp for every qualifying purchase.
- Reward after 8 visits.
- Start with the four At-Risk customers who preferred the loyalty option.
- Later extend the programme to other customers.

Why It Can Work

The customer receives a visible reason to return.

Instead of asking:

"Should I visit Momo Hut again?"

the customer begins thinking:

"I am already halfway towards my reward."

Low-Cost Advantage

The programme can initially be managed through:

- Paper cards
- Simple customer IDs
- Basic Excel tracking

No sophisticated CRM software is required in the first stage.

12.3 Retention Measure 3 – Frequency Recovery Challenge

Objective

Recover the lost visit habit.

Proposed Mechanism

Customers receive a small benefit after completing:

3 visits within 30 days

The reward could be:

• Free beverage
• Small add-on
• Discount on selected item
• Upgrade on a combo

Why It Is Relevant

The defining characteristic of the strict At-Risk group is a decline in visit frequency.

Therefore, this strategy directly targets the problem identified through the data.

13. WHY THESE MEASURES WERE SELECTED

The three strategies are directly connected to the analysis.

Reason 1 – Product/Quality is the biggest problem

6 out of 14 customers = 42.9%

Therefore, personalised communication should acknowledge the customer experience rather than simply providing a generic discount.

Reason 2 – Satisfaction is low

Average satisfaction:

2.5/5

And:

57.1% score 1–2

Therefore, Momo Hut needs a recovery-oriented CRM approach.

Reason 3 – Loyalty is the most preferred offer

4 out of 14 customers = 28.6%

preferred a loyalty stamp card.

Therefore, a loyalty programme has direct support from customer responses.

Reason 4 – Visit frequency has fallen significantly

Earlier:

6.43 visits/month

Current:

1.79 visits/month

Therefore, a frequency-based incentive is relevant.

Reason 5 – Small-business practicality

All three measures can be implemented without expensive CRM software.

They can initially be managed through:

• Excel
• Paper loyalty cards
• WhatsApp/SMS
• Simple staff tracking

This makes the strategy realistic for a neighbourhood restaurant.

14. IMPLEMENTATION PLAN

Month 1 – Launch

Week	Activity	Responsible
Week 1	Identify At-Risk customers	Outlet Manager
Week 1	Prepare personalised messages	Manager + Staff
Week 1	Design loyalty stamp card	Manager
Week 2	Contact At-Risk customers	Front-of-house team
Week 2	Launch loyalty programme	Cashier

Week	Activity	Responsible
Week 2	Start frequency challenge	Manager
Weeks 3–4	Track visits and redemptions	Staff
Week 4	Review early results	Manager

Month 2 – Optimisation

During Month 2, Momo Hut should:

- Review offer redemption
- Check repeat visits
- Track loyalty enrolments
- Monitor customer satisfaction
- Identify which offers perform better
- Stop offers that generate redemption but not repeat visits
- Improve product/service issues identified by customers

Recommended Sequence

Step 1

Personalised Comeback Offer



Step 2

Loyalty Stamp Card



Step 3

Frequency Recovery Challenge



Step 4

Monthly CRM Review

This creates a simple retention cycle:

Identify → Contact → Reward → Track → Learn → Improve

15. PROJECTED IMPACT – ILLUSTRATIVE ONLY

No actual post-intervention results are available.

Therefore, the following figures are only an academic scenario.

Assumption

Strict At-Risk customers:

14

Assumed retention rate:

30%

Projected Retained Customers

$14 \times 30\% = 4.2$

Approximately:

4 customers

Illustrative Revenue Scenario

Average current visits among At-Risk customers:

1.79/month

Assume each retained customer makes approximately 2 additional visits per month.

Projected additional visits:

$4.2 \times 2 = 8.4$ visits/month

Average spend per visit:

₹312

Illustrative additional monthly revenue:

$8.4 \times ₹312 = ₹2,620.80$

Approximately:

₹2,621 additional monthly revenue

Important Interpretation

The ₹2,621 figure is not a sales forecast or actual business result.

It depends on several assumptions:

- 30% retention
- 2 additional visits per retained customer
- ₹312 average spend
- No major change in product mix
- No consideration of discount cost
- No consideration of food cost or contribution margin

16. KPI FRAMEWORK

A CRM strategy should not be evaluated only by the number of offers distributed.

The restaurant should measure whether customers actually return.

KPI	Baseline	Target	Measurement
At-Risk retention	Not available	$\geq 30\%$	Returning At-Risk customers $\div$ contacted customers
Visit frequency	1.79/month	Move toward 6.43	Monthly visit tracking
Satisfaction	2.5/5	$\geq 3.5/5$	Follow-up survey
Offer redemption	Not available	$\geq 40\%$	Redemptions $\div$ offers issued
Loyalty participation	Not available	First 4 At-Risk customers	Loyalty registrations
Repeat visit	Not available	Within 30 days	Customer visit tracking

KPI Logic

The CRM team should focus on the following hierarchy:

Offer Redemption



Repeat Visit



Increased Frequency



Improved Satisfaction



Long-Term Retention

This prevents Momo Hut from incorrectly assuming that a customer who used a discount is automatically retained.

17. PRIVACY, INCLUSION & ETHICAL CONSIDERATIONS

CRM data can be useful, but it must be handled responsibly.

17.1 Data Minimisation

Only collect information that is required for CRM analysis.

Avoid collecting:

- Full names
- Unnecessary personal details
- Sensitive information
- Excessive contact information

17.2 Anonymisation

Customer IDs should be used instead of names.

For example:

M001, M002, M003... M080

This reduces unnecessary exposure of customer identity.

17.3 Consent

If actual customer data is collected, customers should be informed about:

- Why information is being collected
- How it will be used
- That participation is voluntary

17.4 Fairness

Customers who visit less frequently should not automatically be treated as less valuable.

For example, someone may visit less because of:

- Work
- College
- Family responsibilities
- Accessibility requirements
- Changes in routine

CRM should focus on behaviour rather than making assumptions about personal characteristics.

17.5 Inclusion

Communication should be:

- Simple
- Easy to understand
- Available in a comfortable language where possible
- Accessible through both digital and non-digital options

A paper loyalty card can be offered alongside digital communication.

17.6 Responsible Communication

Customers should not receive excessive promotional messages.

Customers should have the ability to decline promotional communication.

18. CONCLUSION

The CRM analysis highlights a clear customer retention opportunity for Momo Hut.

The RFM model identifies 16 customers as RFM-based At-Risk, while the stricter behavioural analysis identifies 14 customers who show a meaningful decline in their visit behaviour.

These 14 customers previously visited approximately 6.43 times per month, but their current frequency has fallen to approximately 1.79 visits per month.

This represents an approximate 72.2% decline in visit frequency.

The average satisfaction score among these customers is only 2.5/5, with 57.1% giving satisfaction scores of 1 or 2.

The largest reason for reduced visits is Product/Quality, followed by Service/Experience.

Therefore, the key learning is:

Momo Hut's retention problem cannot be solved through discounts alone.

The restaurant needs a combination of:

1. Personalised Comeback Offers

To address individual customer concerns.

2. Loyalty Stamp Card

To create a repeat-visit habit.

3. Frequency Recovery Challenge

To rebuild declining visit frequency.

The proposed approach is deliberately simple and suitable for a neighbourhood restaurant.

The CRM strategy can start with an Excel-based customer tracker and paper/digital loyalty mechanism before moving towards more advanced CRM technology.

If the illustrative assumption of a 30% retention rate is achieved, approximately 4 of the 14 At-Risk customers could potentially be retained.

However, this is a projection and should not be interpreted as an actual business outcome.

Ultimately, the CRM objective for Momo Hut should be:

“Not just to bring customers back once, but to give them a reason to keep coming back.”

APPENDIX A – STRICT BEHAVIOURAL AT-RISK CUSTOMER SUMMARY

ID	Earlier Visits	Current Visits	Recency Days	Satisfaction	Reason for Reduced Visits	Preferred Offer
M003	6	1	32	2	Food taste has become inconsistent	Combo meal deal
M008	7	1	33	3	Service is slow during evening rush	10% weekday discount
M012	8	1	35	2	Portion size feels smaller than before	Free beverage add-on
M016	6	1	38	1	Started working from home; outlet less convenient	Loyalty stamp card
M020	8	2	50	4	Too much waiting time for takeaway	10% weekday discount
M025	5	3	43	3	Would like more affordable combo options	Combo meal deal
M031	6	3	44	2	Dining area feels crowded at peak hours	Loyalty stamp card
M037	8	3	32	4	Menu has not changed much	Free beverage add-on
M044	4	1	51	2	More seating would make visits easier	Referral reward
M050	4	1	38	2	Momos are sometimes not served hot enough	Loyalty stamp card

ID	Earlier Visits	Current Visits	Recency Days	Satisfaction	Reason for Reduced Visits	Preferred Offer
M056	8	1	36	1	Busy college schedule	10% weekday discount
M063	9	3	46	2	Takeaway packaging leaks	Free beverage add-on
M070	6	2	53	3	Wants more variety in Chinese starters	Combo meal deal
M077	5	2	51	4	Outlet is farther from current commute	Loyalty stamp card

APPENDIX B – FORMULA & QUALITY CHECKS

B.1 Customer Count Check

Total Customers = 80

B.2 RFM Segment Check

Quality Check	Result
Total Customers	80
Champions / Highly Loyal	9
Loyal Customers	20
Potential Loyalists	14
RFM-based At-Risk	16
Inactive / Low Engagement	21
Total Segmented Customers	80

Verification

$$9 + 20 + 14 + 16 + 21 = 80$$

Therefore, all customers are assigned to one segment.

B.3 Strict At-Risk Check

Strict At-Risk condition:

Recency > 30

AND

Earlier Visits ≥ 4

AND

Current Visits < Earlier Visits

Result:

14 customers

B.4 At-Risk Percentage

$$14 \div 80 \times 100 = 17.5\%$$

Therefore:

Strict Behavioural At-Risk Rate = 17.5%

B.5 Visit Frequency Check

Earlier average:

6.43 visits/month

Current average:

1.79 visits/month

Decline:

$$6.43 - 1.79 = 4.64 \text{ visits/month}$$

Percentage decline:

$$4.64 \div 6.43 \times 100 \approx 72.2\%$$

B.6 Satisfaction Check

Customers with satisfaction scores of 1 or 2:

8

Total strict At-Risk customers:

14

Therefore:

$$8 \div 14 \times 100 = 57.1\%$$

B.7 Projected Retention Check

Strict At-Risk customers:

14

Assumed retention rate:

30%

Projected retained customers:

$$14 \times 30\% = 4.2$$

Rounded:

Approximately 4 customers

B.8 Illustrative Revenue Check

Projected additional visits:

$$4.2 \times 2 = 8.4 \text{ visits}$$

Average spend:

₹312

Projected monthly revenue:

$$8.4 \times ₹312 = ₹2,620.80$$

Rounded:

₹2,621/month

This is an illustrative scenario and not an actual business result.

APPENDIX C – EXCEL WORKBOOK STRUCTURE

The accompanying Excel workbook contains the following sheets:

Sheet	Purpose
Cover & Guide	Project overview and workbook instructions
Customer Response Tracker	80 customer-level records
RFM Analysis	Recency, Frequency, Monetary calculations
Customer Segmentation	Formula-based customer classification
At-Risk Analysis	Strict behavioural At-Risk identification
At-Risk Insights	Reason, satisfaction and offer analysis
Retention Playbook	Recommended CRM interventions
Implementation & Impact	Timeline, KPIs and projected impact
Field Visit Log	Two field-visit observations
Legend & Notes	Definitions, assumptions and methodology

Key Excel Formula:

Recency Days

=Analysis Date - Most Recent Visit

RFM Score

=R Score + F Score + M Score

Strict At-Risk

=AND (Recency Days>30, Earlier Visits>=4, Current Visits<Earlier Visits)

At-Risk Percentage

=Strict At-Risk Customers / Total Customers

Projected Retained Customers

=At-Risk Customers × Assumed Retention Rate

Projected Incremental Revenue

=Projected Retained Customers × Additional Visits × Average Spend

FINAL CRM TAKEAWAY

The Momo Hut CRM Problem

Customers are not necessarily leaving because of price.



What the data tells us

72.2% decline in visit frequency among strict At-Risk customers



2.5/5 average satisfaction



42.9% cite Product/Quality issues



28.6% prefer a Loyalty Stamp Card



Therefore, the CRM Solution

Personalise → Reward → Rebuild Habit → Measure → Improve

Recommended CRM Strategy

“Win them back personally, give them a reason to return, and create a reason to stay.”